

Table 11.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the height between the highest high and the lowest low in the pattern. Add the height to or subtract it from the highest high or lowest low, respectively. The result is the target price for upward and downward breakouts. The bottom portion of the table shows how often the measure rule works.
Go long at the bottom	Once a broadening top appears, buy after the stock makes its turn at the bottom trendline.
Long stop	Place a stop-loss order 15 cents below a nearby minor low. Should the stock reverse course, you will be protected.
Go short at the top	Sell short after price starts heading down at the top.
Short stop	Place a stop 15 cents above a nearby minor high to protect against an adverse breakout. Cover the short when it turns at the bottom trendline and starts moving up. For a downward breakout, cover as it nears the target price or any support level.
Partial rise and decline	Go long if a broadening top shows a partial decline. Consider adding to your position once it makes an upward breakout. Partial declines work 72% of the time in bull markets. Partial rises (downward breakout, bull markets) work 52% of the time.
Stop location	See Table 11.7 for stop location guidance.
Busted trade	Table 11.9 can help with busted patterns.

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching half	83%	73%	70%	73%